

Returning to the black swan problem, consider the following statement:

Statement A: No swan is black because I looked at 4000 swans and found none.

Statement B: Not all swans are white.

I cannot logically make statement A, no matter how many successive white swans I may have observed in my life and may observe in the future (except of course if I am given the privilege of observing with certainty all available swans). It is however possible to make Statement B merely by finding one single black swan in my sample. Indeed, statement A was disproved by the discovery of Australia, as it led to the sighting of the *cygnus atratus*, a swan variety that was jet black! The reader will see a hint of Popper (after we are done with my semi-mentor Victor); there is a strong asymmetry between the two statements. Such asymmetry lies in the foundations of knowledge. It is also at the core of my dealing with randomness as a trader.

The following inductive statement illustrates the problem of interpreting past data without logical *method*:

I have just completed a thorough statistical examination of the life of President Bush. For 55 years, close to 16,000 observations, he did not die once. I can hence pronounce him as immortal, with a high degree of statistical significance.

Although Victor and I trade in such an opposite manner that many of his trades end up in my inventory, I have a large measure of respect for him. He sells out-of-the-money options for a living; I buy them for a living (by selling an out-of-the-money option one is betting that an event *will* not happen; by buying one I am merely betting that it *may* happen). He tries to make steady income, I prefer a lumpy and rare payoff. Although we seem to be diametrically opposite traders, we share many superficial personal traits. These may be worth bringing in here because we both make our private traits part of our trading and make a thin distinction between activities middlebrow people call "work" and those they call "leisure". Both of us are traders trying to live under the illusion of

operating a scientific laboratory. Both of us surround ourselves with scholars and scientists, not businessmen (talking to successful scientists is a good discipline to avoid pedestrianism in our own thinking). Both of us try to lead the lives of the Victorian gentleman scholar with books scattered around us, by escaping many of the popular accretions of the twentieth century. Both of us glorify our personal idiosyncrasies to avoid bearing any intellectual resemblance to the crowd. Both of us obsessively pursue athletic activities on a daily basis (but he is competitive and competition in sports repels me). Victor's model seems to be the Victorian gentleman (like his hero Francis Galton, the tinkering cousin of Charles Darwin, who is the true inspiration of all applied statisticians) while, like a true Victorian, I am first and last a classicist and remain steeped in the Greco-Roman culture in which I grew up (my heroes are rather literary figures). Both of us avoid the media, television, newspapers, although Victor is far more vigorous than I in such strictures. Both of us avoid chitchat and small talk like the plague (too much left-column noise).

Sir Karl's Promoting Agent

Next I will discuss how I discovered Karl Popper via another trader, perhaps the only one I have ever truly respected. I do not know if it applies to other people, but, in spite of my being a voracious reader, I have rarely been truly affected in my behavior (in any durable manner) by anything I have read. A book can make a strong impression, but such an impression tends to wane after some newer impression replaces it in my brain (a new book). I have to discover things by myself (recall *The Stove is Hot* section in Chapter 2). These self discoveries last.

One exception of ideas that stuck with me are those of Sir Karl, whom I discovered (or perhaps rediscovered) through the writings of the trader and self-styled philosopher George Soros who seemed to have organized his life by becoming a promoter of the ideas of Karl Popper. What I learned from George Soros was not quite in the way he perhaps intended us to learn from him. I disagreed with his statements when it came to economics and philosophy – but somehow I succumbed to the charm of